G7 Economic Outlook

Comparative Analysis — March 2026

A cross-country assessment of growth, inflation, monetary policy, and risks across the G7 economies

Executive Summary

The G7 enters mid-2026 against a backdrop of diverging growth trajectories, geopolitical friction, and an ongoing rotation in global capital flows. The United States remains the fastest-growing major developed economy, with GDP projected to expand 1.9–2.4% in 2026, buoyed by fiscal stimulus and AI-driven capital expenditure [1] [2]. However, the Fed's Beige Book paints a mixed picture, describing growth as *"slight to moderate"* with uncertainty and higher prices holding back momentum [3].

European G7 members face a more subdued outlook. The UK's OBR has downgraded 2026 growth to 1.1% from 1.4% [5], while Germany's fragile recovery of 0.6–1.0% relies heavily on a €500 billion infrastructure package [8]. France is tracking around 1.0% growth with elevated fiscal risks [11], and Italy's persistent sub-1% growth continues at 0.7% [17].

Japan is navigating a delicate monetary normalisation path, with the BOJ maintaining rates at 0.75% while vowing further hikes [16]. Canada faces significant headwinds from U.S. tariff exposure and trade uncertainty, with growth forecast at 1.1% [22]. Across all G7 nations, the escalating Middle East conflict and oil-price volatility represent a shared tail risk that could reshape monetary policy and growth assumptions.

Regional Scorecard

** ECB deposit rate; applies to Germany, France, and Italy.*

Indicator	US	UK	Germany	France	Japan	Italy	Canada
GDP 2025	2.2%	1.3%	0.2%	0.9%	1.1%	0.5%	1.7%
GDP 2026F	1.9–2.4%	1.1%	0.6–1.0%	1.0%	0.8–1.0%	0.7%	1.1%
CPI 2026F	~2.4%	2.3%	2.0–2.2%	~1.0%	1.9%	~2.0%	~2.0%
Policy Rate	4.25–4.50%	4.50%	2.00%*	2.00%*	0.75%	2.00%*	2.25%
Key Risk	Inflation	Jobs	Industry	Fiscal	Conflict	Debt	Tariffs

Country Deep Dives

United States

Growth: The U.S. economy expanded 2.2% in 2025 despite tariff hikes, supply chain disruptions, and a record-setting 43-day government shutdown [1]. GDP growth is now projected to approach 1.9–3.0% in 2026, depending on the forecaster—the IMF sees 2.4% [2] while Georgia State University forecasts 1.9% [26]. Key drivers include income tax cuts, fiscal expansion, and massive AI infrastructure investment [1].

Monetary Policy: Inflation has cooled from its 2022 peak of 9.1% to approximately 2.4%, edging closer to the Fed's 2% target [4]. However, with unemployment at 4.3% and FOMC members debating how safely rates can be further reduced, the path forward remains uncertain. The Fed funds rate stands at 4.25–4.50%, and the Fed appears cautious about premature easing [4].

Key Risks: Persistent inflation above target, a weakening labor market, and the risk that AI-driven investment may not translate into broad-based productivity gains. Middle East geopolitical escalation adds further uncertainty.

United Kingdom

Growth: The OBR has downgraded 2026 growth to 1.1%, down from the 1.4% forecast in November [5]. The downgrade reflects a slowing economy in late 2025, loosening in the labour market, and subdued business surveys [6]. The UK grew 1.3% in 2025, which Chancellor Reeves characterised as the fastest rate of growth of any G7 country in Europe [5].

Inflation & Labour: Inflation is expected to fall from 3.4% in 2025 to 2.3% in 2026 and 2% from 2027 onward [6]. However, unemployment is forecast to peak at 5.3%, higher than previous estimates [7]. The tax burden is heading into what economists describe as "uncharted territory."

Key Risks: Rising unemployment, record tax-to-GDP ratios, and external exposure to Middle East instability and global trade disruptions.

Germany

Growth: After two consecutive years of contraction (–0.3% in 2023 and –0.2% in 2024) and near-stagnation in 2025 at approximately 0.2%, Germany enters 2026 at an inflection point [8]. Consensus forecasts range from 0.6% (Bundesbank) to 1.0% (government), with the DIHK and ifo Institute at 0.8–1.0% [8] [9]. Critically, an estimated 0.3–0.4 percentage points of headline growth stems from calendar effects rather than genuine momentum [8].

Fiscal Stimulus: A €500 billion infrastructure fund and elevated defence spending are expected to contribute roughly 0.3 percentage points to GDP growth in 2026, with a more pronounced impact in 2027 [8]. Bloomberg Economics forecasts quarterly GDP growth accelerating to 0.4% in H2 2026 [10].

Key Risks: U.S. tariffs could dampen GDP growth by 0.6 percentage points in 2026. German exports to the U.S. fell 9.4% in the first eleven months of 2025. The automotive sector (6% of GDP) faces particular exposure, with 40% of machinery exports to the U.S. now subject to tariffs [8].

France

Growth: The French economy grew 0.9% in 2025, slowing from 1.1% in 2024. Q4 2025 GDP expanded just 0.2% quarter-on-quarter [12]. The IMF and OECD project GDP growth of approximately 1.0% in 2026, slower than the eurozone average [11]. The Banque de France forecasts Q1 2026 growth of 0.2–0.3% [13].

Political & Fiscal Context: France's government lost a confidence vote in September 2025 and operates as a fragile minority administration. The budget deficit came in at 5.4% of GDP in

2025, with public debt projected at 118.2% of GDP in 2026 [11]. Inflation rebounded to 1.0% in February 2026, up from 0.3% in January [12].

Key Risks: Political instability, the elevated fiscal deficit, weak hiring intentions, and household consumption softness.

Japan

Growth: Japan's economy grew 1.1% in 2025 (IMF estimate), showing resilience despite elevated uncertainty [15]. The BOJ raised its fiscal 2026 growth outlook to 1.0% from 0.7%, while the IMF projects 0.8% [14] [15]. The economy is expected to benefit from a virtuous cycle of rising prices and wages, supported by accommodative financial conditions [14].

Monetary Policy: The BOJ held its overnight call rate at 0.75% and has signalled continued rate hikes if economic and price projections are on track. Governor Ueda has stated the bank will pursue policy so that Japan sustainably achieves its 2% inflation target accompanied by wage gains [16]. Core CPI is forecast at 2.2% for 2026 [14].

Key Risks: The Middle East conflict poses direct growth risks and could slow the BOJ's rate-hiking cycle. Rising living costs continue to weigh on household consumption.

Italy

Growth: Q4 2025 GDP rose 0.3% quarter-on-quarter and 0.8% year-on-year, with a carry-over effect of 0.3% for 2026 [17]. Full-year 2025 growth was 0.5%. The government forecasts 0.7% growth in 2026, which would mark a fourth consecutive year of sub-1% expansion despite billions in EU post-COVID recovery funds [17]. The parliamentary budget watchdog UPB also estimates 0.7% [18].

Fiscal Position: Italy's 2025 budget deficit missed the 3% target, and the country targets 2.8% in 2026 [19]. Public debt—the second highest in the eurozone after Greece—is projected at 137.4% of GDP in 2026 [18].

Key Risks: Persistent low productivity, high public debt, exposure to financial market sentiment shifts, and climate-related extreme weather events.

Canada

Growth: Canada's economy grew 1.7% in 2025, but GDP contracted 0.6% on an annualized basis in Q4 2025, largely due to inventory drawdowns [20]. The Bank of Canada projects 2026 growth at 1.1%, though some private forecasters see growth as low as 0.5% [22]. The services sector remains in contraction with PMI at 46.5 in February, though manufacturing has improved with PMI above 50 [21].

Monetary Policy: The Bank of Canada held its benchmark rate at 2.25% in January and is widely expected to remain on hold through 2026 [22]. Policy is shaped by trade uncertainty around the upcoming CUSMA review and the impact of U.S. tariffs on critical sectors including steel, autos, and aluminum [22].

Key Risks: U.S. tariff escalation remains the primary risk, with services PMI in contraction and a Q4 GDP surprise to the downside. A potential recession is being discussed by market participants.

Cross-Cutting Themes

Monetary Policy Divergence

Central banks are at distinctly different stages. The Fed holds rates at 4.25–4.50% and debates further cuts as inflation approaches target [4]. The ECB is paused at 2.0%, with inflation projected below target in 2026–2027 and markets pricing no change all year [23]. The BOJ is the sole G7 central bank in a tightening posture, pledging further hikes at 0.75% [16]. The Bank of Canada sits at 2.25% with a watch-and-wait stance [22].

Global Capital Rotation

A structural shift in capital flows is underway. International equities trade at roughly twice the historical discount to U.S. equities, with improving earnings expectations outside the U.S. and currency tailwinds from a weaker dollar [25]. European equities remain particularly attractive on relative valuations, while Asia's markets are outpacing peers in the U.S. and Europe [24]. The rotation appears less tactical and more structural in nature [24].

Geopolitical & Trade Risks

The Middle East conflict represents a shared tail risk across all G7 economies. Rising oil prices could reignite inflation pressures, particularly in the eurozone where JP Morgan estimates a 10% oil price increase would lift headline inflation by approximately 0.11 percentage points within three months [23]. U.S. tariff policy continues to weigh on trade-dependent economies, especially Germany and Canada.

Sources

#	Source	Date	Title / URL
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2	IMF	Feb 26, 2026	U.S. 2026 Article IV Consultation
3	Morningstar	Mar 4, 2026	U.S. economy gets off to choppy start in 2026
4	Nasdaq	Mar 4, 2026	Will the Federal Reserve Cut Interest Rates in 2026?
5	Yahoo Finance	Mar 4, 2026	UK's Reeves Says OBR Forecasts GDP Growth of 1.1% in 2026
6	AOL / OBR	Mar 3, 2026	Unemployment to jump to 5.3% as UK economy faces slower growth
7	The Politico	Mar 4, 2026	Keep calm and carry on: Britain's finance minister
8	Cash & Treasury Mgmt	Mar 4, 2026	German Economic Outlook for 2026
9	Associated Press	Jan 28, 2026	German government lowers 2026 forecast
10	Yahoo Finance / Bloomberg	Feb 21, 2026	Germany About to Find Out Whether Its Recovery Is Real
11	Morningstar / ING	Jan 30, 2026	France's Economy Slowed Pace in 2025
12	RTTNews / INSEE	Feb 27, 2026	CAC 40 Down Marginally Amidst Slew Of Economic Data
13	Banque de France	Feb 27, 2026	Remarks on the economic outlook for France and the euro area
14	CNBC	Feb 16, 2026	Japan fourth-quarter GDP reverses into growth
15	IMF Japan	Feb 18, 2026	IMF Japan Article IV Press Conference
16	US News / BOJ	Mar 4, 2026	Bank of Japan Chief Vows to Keep Raising Rates
17	US News / ISTAT	Mar 4, 2026	Italy Q4 GDP Confirmed at +0.3% Q/q
18	US News / UPB	Feb 4, 2026	Italy Budget Watchdog UPB Raises 2026 GDP Growth to 0.7%
19	US News / Italy Budget	Mar 2, 2026	Italy 2025 Budget Deficit Misses 3% Target
20	Morningstar / BoC	Mar 2, 2026	Supply Shocks Can Compel Higher Rates in Weak Economy
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26	GlobeNewswire / Georgia State	Mar 4, 2026	K-Shaped Economy Will Transition to Balanced Growth by Early 2027